WARRANTY ATLAS · Maine (ME)

Law last amended: 2013 (eff. 2014-08-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-22

Cites: 10 M.R.S. § 1176; 10 M.R.S. § 1176-A; 10 M.R.S. § 1174(3)(C-3), (5); 10 M.R.S. § 1173(1); 10 M.R.S. §§ 1171-B(3), 1188; 10 M.R.S. § 1186
Flagged state.

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Statute silent on time / not established	§ 1176, first paragraph
Mfr-backed service contract	**Not addressed**	-	§ 1176, first paragraph
CPO warranty	**Not addressed**	-	§ 1176, first paragraph
Independent service contract	**Not addressed**	-	§ 1176, first paragraph

Hourly rate: The 'retail rate customarily charged by that franchisee for the same labor when not performed in satisfaction of a warranty', as long as the nonwarranty labor rate is 'routinely posted in a place conspicuous to its service customer'. The statute has no RO-sample method for labor; the 100-RO / 60-day method is for parts markup only.

Audit fields

Field	Rule	Pinpoint
Claim decision	60 days; late claim deemed approved: no rule in statute. Written notice within the 60-day period, with the specific reasons for disapproval	10 M.R.S. § 1176, ¶1
Payment	60 days after approval. Dealer filing deadline: A claim may be submitted within 90 days after the services are performed. The franchisor may not deny claim elements based on an incidental failure to meet a claim requirement, a clerical error or anothe…	
Chargebacks	Silent; fraud: Silent. The mfr may 'reasonably and periodically' audit to determine the validity of paid claims. The only express time limit (12 months before the audit-notice date) applies to audits of incentive payments, not warranty claims. Paid-claim elements may not be denied…	10 M.R.S. § 1176-A
Rate resubmission	Silent. Sample: No statutory labor-rate sample. Excluded: none listed.	10 M.R.S. § 1176, ¶1
Mfr response	Silent; no response = approved: no rule in statute. Challenge: Forum: Complaint to the Maine Motor Vehicle Franchise Board (§ 1188; Board r….	10 M.R.S. § 1188(1)
Penalties	Damages and equitable relief incl. an injunction; mandatory attorney's fees and costs to a prevailing dealer (§ 1173(1)). Court costs and reasonable attorney fees, based on time, to a dealer who successfully sues on a disapproved claim (§ 1176) Franchise Board civil penalty of $1,000-$10,000 per violation; multiple transactions within…	10 M.R.S. §§ 1171-B(3), 1173(1), 1176, 1186, 1188
Audit procedures	Audit climate score 15/100 (Low restrictiveness; chargeback limits 12/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: limited to the submission.	

Statute quotes

Claims *(10 M.R.S. § 1176, ¶1): "must be paid within 60 days of its approval. All the claims must be either approved or disapproved within 60 days of their receipt. A claim may be submitted within 90 days after the performance of services."*
Chargebacks *(10 M.R.S. § 1176-A): "A manufacturer may reasonably and periodically audit a new motor vehicle dealer to determine the validity of paid claims or any charge-backs for customer or dealer incentives. Audits of incentive payments may be only for the 12-month period immediately preceding"*
Rate *(10 M.R.S. § 1176, ¶1): "reimburse the franchisee for any labor so performed at the retail rate customarily charged by that franchisee for the same labor when not performed in satisfaction of a warranty; as long as the franchisee's rate … is routinely posted"*
Factory time *(§ 1176, first paragraph): "the franchisor shall reimburse the franchisee for any labor so performed at the retail rate customarily charged by that franchisee for the same labor when not performed in satisfaction of a warranty"*

Notes

Parts: vehicles over 10,000 lb GVWR get only 'adequately and fairly compensate'; all others get the retail markup. The GVWR split does not apply to labor. Motor-home living components are excluded from retail parts pricing. No cost recovery. The franchisor may not restrict labor or parts in ways that impair warranty service. Recall labor and parts claims are processed and paid like § 1176 warranty claims (§ 1174(3)(C-3)). No denial of a warranty or recall claim discovered during a separate customer repair (§ 1174(5)). The statute has no time-allowance rule.

Source: official · https://legislature.maine.gov/statutes/10/title10sec1176.html · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.